

15-1 Why Monopolies Arise

A firm is a

monopoly (a firm that is the sole seller of a product without any close substitutes) if it is the sole seller of its product and if its product does not have any close substitutes. The fundamental cause of monopoly is *barriers to entry*: A monopoly remains the only seller in its market because other firms cannot enter the market and compete with it. Barriers to entry, in turn, have three main sources:

- *Monopoly resources*: A key resource required for production is owned by a single firm.
- *Government regulation*: The government gives a single firm the exclusive right to produce some good or service.
- *The production process*: A single firm can produce output at a lower cost than can a larger number of firms.

Let's briefly discuss each of these barriers to entry.